UNIT III SERVICE BUSINESS - I

CHAPTER 11

TYPES OF BANKS

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Learning Objectives

To enable the students to

i. understand the various types of banks
ii. describe the activities of various types of banks
iii. compare one type of bank with another one

11.01 Introduction

There are different types of banks performing different sets of functions. Though all types of banks deal in money, each type cater to the needs of different sectors. Therefore a study of all these types of banks is essential. Different types of banks can be understood by a glance at the chart given in the chapter 10.

11.02 Types of banks

Banks can be classified as follows.

A. Based on the functions of banks
B. Based on the status given by the RBI - Reserve Bank of India
C. Based on the ownership pattern

A. Based on the functions of banks

1. Central Bank – Refer to Chapter 10

2. Commercial Banks

Banks which accept deposits from the public and grant loans to traders, individuals, agriculture, industries, transport, etc. in order to earn profit. Their lending is in comparatively small amounts and mostly for short and medium period. They also provide other services like remittance of funds, safe keeping of valuables, collection of cheques, s, issue of letters of credit, etc. They operate with a head office and a network of branch offices spread throughout the country. They also issue guarantees to businessmen. When a businessman or industrialist buy machinery on credit or apply for a big contract bank guarantees that in case the customer fails the bank will make the payment.

Examples:

i. State Bank of India
ii. Karur Vysa Bank
iii. Standard Chartered Bank

3. Development Banks

Huge finance required for investment, expansion and modernisation of big industries and others are granted by a separate type of banks called development Banks. They are also called industrial banks. The objective of development banks is not profit. Their aim is to develop the country and create employment opportunities. Finance is provided by them for medium and long terms ranging from five to twenty years. Development banks do not accept

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